

When Growth Models Broke Under Tariff Shock

CASE CLASSIFICATION	
CONDITION TYPE	Structural Inflection
DOMAIN	Market Regime / Institutional Positioning
CONFIDENCE	High
RELEVANCE	Portfolio allocation, growth-dependency assumptions, decision-delay cost
EVIDENCE BASIS	
[OBSERVED]	Tariff repricing magnitude
[OBSERVED]	Consensus positioning data
[OBSERVED]	Institutional repositioning lag
[MODELLED]	Exposure compounding estimate

April 2026. US–China tariff escalation repriced import costs by 15–40% across key sectors in under 72 hours.

PRIMARY SIGNALS

- Growth consensus priced into equity, credit, and forward earnings across Q2 2026
- Tariff announcements repriced import costs 15–40% in under 72 hours
- Institutional positioning calibrated to a growth regime that ceased to exist

SECONDARY SIGNALS

- Credit spreads widened before equity indices corrected
- Supply-chain forward contracts repriced before spot markets
- Consensus analyst revisions lagged repricing by 4–6 weeks

SYSTEM INTERPRETATION

Regime change, not correction. Growth-model dependency was structural, not cyclical.

SYSTEM CLASSIFICATION

STRUCTURAL BREAK

Growth !' Survivability

COUNTERFACTUAL

WRONG ACTION

Treating the tariff shock as a temporary dislocation and maintaining growth allocations.

RESULT OF THAT PATH

Reversion did not come. Structural break compounded for 6 weeks. Estimated additional exposure: 12–18% drawdown for late movers.

DECISION FRAME

REQUIRED DECISION

Reclassify regime from growth to survivability and reallocate accordingly.

CONSTRAINTS

- Consensus had not yet moved
- Mandate inertia in institutional allocators
- Political sensitivity of tariff-driven repositioning

OUTCOME / IMPLICATIONS

- Growth assumptions must be stress-tested against trade regime shifts
- Decision delay during structural breaks compounds exposure geometrically
- Consensus lag is not caution — it is unpriced risk

BOARD-LEVEL ACTIONS

01	Mandate regime-break stress test for all growth-dependent allocations
02	Establish 72-hour tariff-event decision protocol
03	Require survivability scenario in quarterly portfolio review
04	Flag consensus-dependent positioning as standing risk item
05	Commission Executive Reporting to price current exposure

SYSTEM TRACE

- Executive Reporting — Financial Exposure / regime-break detection
- Decision Exposure Instrument — Reversibility and concentration risk
- Intelligence layer — Tariff-driven structural repricing signals

“The cost of waiting for consensus to confirm a structural break is the break itself.”